



SPONSOR: Rep. Osienski & Sen. Paradee
Rep. Heffernan; Sen. Hoffner

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 271

AN ACT TO AMEND TITLE 4 OF THE DELAWARE CODE RELATING TO MARIJUANA ESTABLISHMENT
SPACING REQUIREMENTS.

1 WHEREAS, the Delaware Marijuana Control Act establishes spacing requirements between licensed marijuana
2 establishments in order to address community-impact and public-safety concerns; and

3 WHEREAS, those concerns are appropriately focused on retail, consumer-facing locations, not on upstream, non-
4 retail operations such as cultivation, manufacturing, or testing; and

5 WHEREAS, Delaware's liquor-control framework imposes spacing restrictions only on retail outlets, while
6 permitting co-location of producers and wholesalers; and

7 WHEREAS, clarifying the scope of the marijuana spacing requirement will reduce unnecessary development
8 costs, avoid duplicative zoning and infrastructure, and better align the statute with its original legislative intent without
9 reducing regulatory oversight.

10 NOW, THEREFORE:

11 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

12 Section 1. Amend § 1354, Title 4 of the Delaware Code by making deletions as shown by strike through and
13 insertions as shown by underline as follows:

14 § 1354. Grounds for refusal of license; transfer or extension of premises.

15 (e) The Commissioner shall refuse to grant a retail marijuana license for the sale of marijuana, marijuana products,
16 or marijuana accessories when there is an existing licensed ~~establishment of the same type~~ retail marijuana establishment
17 within 1200 feet by accessible public road or street in any incorporated city or town, or within 1 mile by accessible public
18 road or street in any unincorporated or rural area. If there is an existing licensed retail marijuana establishment less than 1
19 mile but more than $\frac{9}{10}$ of 1 mile by accessible public road or street in any unincorporated or rural area, the Commissioner
20 may grant such license. This subsection does not apply to any of the following:

21 (1) Any existing retail license or to the sale, transfer of ownership, or renewal of an existing retail license.

22 (2) Any retail licensee who desires to move the location of the licensee's licensed premises to a location
23 within 500 feet thereof by accessible public road or street or any retail licensee located in a shopping center or

- 24 shopping mall who desires to move the location of the licensee's licensed premises any distance within the same
- 25 shopping center or shopping mall, whether such center or mall consists of 1 or more than 1 separate buildings.

SYNOPSIS

This Act clarifies the application of the marijuana establishment spacing requirement in § 1354(e), Title 4 of the Delaware Code, by specifying that the distance limitation applies only to retail marijuana licenses. The Act aligns the marijuana licensing framework with Delaware's existing liquor-control statutes, which impose spacing requirements on consumer-facing retail outlets but not on upstream operations such as production or wholesale activities. By limiting the spacing requirement to retail licenses, the Act permits the co-location of non-retail marijuana operations, including cultivation, manufacturing, and testing facilities, while preserving the Commissioner's full regulatory authority over licensing, inspection, and enforcement.